Unit 4 Progress Check: FRQ

Include correctly labeled diagrams, if useful or required, in explaining your answers. A correctly labeled diagram must have all axes and curves clearly labeled and must show directional changes. If the question prompts you to "Calculate," you must show how you arrived at your final answer.

WataDine is one of a city's many restaurants that serve lunch and dinner in a monopolistically competitive market. Assume WataDine, as a typical restaurant in the city, is currently producing the profit-maximizing output level, and earns positive economic profit.

(a) How is monopolistic competition similar to each of the following market structures?

(i) Perfect competition

(ii) Monopoly

(b) WataDine is currently earning positive economic profits. Draw a correctly labeled graph for WataDine in short-run equilibrium and show each of the following.

(i) The profit-maximizing quantity, labeled Q_M

(ii) The profit-maximizing price, labeled P_M

(c) Given that WataDine is currently earning positive economic profits, what will happen to each of the following in the long run?

(i) WataDine's economic profit. Explain.

(ii) WataDine's demand curve for its restaurant meals.

(d) Assume WataDine is in long-run equilibrium.

(i) Is WataDine taking advantage of its economies of scale? Explain.

(ii) Would WataDine produce the productively efficient output? Explain.

1. Respond to all parts of the question.

Include correctly labeled diagrams, if useful or required, in explaining your answers. A correctly labeled diagram must have all axes and curves clearly labeled and must show directional changes. If the question prompts you to "Calculate," you must show how you arrived at your final answer.

(a) Draw a correctly labeled graph for a monopoly and show each of the following.

(i) The profit-maximizing quantity, labeled Q_M

(ii) The profit-maximizing price, labeled P_M

(b) Assume the monopoly now engages in perfect price discrimination. On your graph in part (b), show the profit-maximizing quantity for the price discriminating monopoly, labeled Q_{PD}.

(c) Based on your answer to part (b), will a perfectly competitive market produce a larger, smaller, or the same quantity as the perfectly price discriminating monopoly? Explain.

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2. Respond to all parts of the question.